

revoking poison pills); ousting the CEO or chairman; challenging board independence and fair representation; seeking better disclosure and questioning potential fraud; and challenging the level or the pay-for-performance sensitivity of executive compensation.

7. **Undercapitalization:** Activists seek to provide finance for business growth or corporate restructuring arising out of bankruptcy or financial distress, in exchange for friendly board representation

Leaving aside the generic “undervaluation,” and even “operational efficiency,” which is typically a euphemism for cost cutting, the third most common activist demand was a higher payout, even to the extent of having the target assume more debt. The next most common complaint was excessive diversification, in which the activists either demanded a refocusing of the business, attempted to stop further diversification, or tried to stop the target firm from making acquisitions. These are all the demands we would expect to see if the issue was one of Jensen’s free cash flow agency conflict. Brav et al. also cited general governance issues, including rescinding takeover defenses, ousting CEOs, promoting board independence, and curtailing executive compensation, as common reasons for activism.

In early 2013 David Einhorn began agitating to have Apple, Inc. pay out its enormous cash holding. Speaking at the Ira W. Sohn Conference, Einhorn noted that with close to \$137 billion in cash on its balance sheet, it held more cash than “the market capitalization of all but 17 companies in the S&P 500,” the size of which “reveal[ed] a basic flaw in Apple’s capital allocation.”¹⁶ The problem with holding so much cash, according to Einhorn, was its opportunity cost. It earned only a small amount of interest, which meant a return below the rate of inflation. He likened it to “decaying inventory,” arguing that the real value of it declined a little bit every day.¹⁷

Even worse, the return is far below the cost of capital. For companies with all-equity balance sheets, the cost of capital is particularly high, because expensive equity capital supports both the business and the foreign cash.

Finance theory suggests that an unlevered or net cash balance sheet should be rewarded with higher P/E multiples. In practice, the market assigns a discount for this level of overly conservative long-term capital management.

Not only does the cash earn a return below the cost of capital, it is evident that future profits will probably also be reinvested at a low return. As a result, the market not only discounts the cash sitting on the balance sheet, it also drives down the P/E multiple due to the anticipated suboptimal re-investment rate for future cash flows.